Method A (which is the customary method). The minority interest is deducted after the parent company's interest charges. Under this method the minority item does not affect the bond-interest coverage in any way.

Method B (which is accurate, but a little complicated). Subsidiary earnings and charges are included only to the extent of the parent company's ownership. In other words, both the earnings and the fixed charges are reduced by the percentage applicable to the minority holdings of common stock.

Method C (which is recommended). The minority interest is deducted from net earnings (in the same way as an expense item) *before* figuring the interest coverage. This will result in a smaller interest coverage than under Method B, but the understatement will be moderate.

The three methods applied to United Light & Railways Co. report for 1938 will give the following results:

Item	Method A (customary)	Method B (accurate)	Method C (conservative)
Gross operating revenues	$77,351,000	$59,221,000*	$77,351,000
Net earnings	21,352,000	17,072,000*	21,352,000
Minority interest			1,851,000
Balance for fixed charges	21,352,000	17,072,000*	19,501,000
Fixed charges[1]	14,927,000	12,498,000*	14,927,000
Minority interest	1,851,000		
Balance for parent company stocks	4,574,000	4,574,000	4,574,000
Number of times fixed charges earned	1.43	1.37	1.31

[1] Subsidiary interest and preferred dividends and parent-company interest.

* Excluding minority interest (45.31%) in American Light & Traction figures.

Note that the only additional calculation needed to apply Method *B* is to find the amount of subsidiary fixed charges applicable to the minority interest. The adjusted fixed charges divided into the balance for parent-company shares will give the coverage less 1. Note also that although Method *C* always gives a smaller result than the other two, Method *B* will give a higher or lower coverage than Method *A* depending on whether the subsidiary earned its charges with a smaller or larger margin than the combined system.

NOTE 28

Calculation of the margin of safety protecting preferred dividends has received relatively scant attention at the hands of most writers of textbooks on investment.